

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment
Large Cap (>\$200B) · Report Date: June 12, 2026
Latest financials: Q3 FY2025 · Model data as of 2026-06-12

UNDERWEIGHT

Blended Target: \$105.85

DCF + Comps + Analyst (see cross-check table)

Implied upside: -13.7%

Price (Jun): \$122.62

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$105.85 (-13.7% vs \$122.62); multi-method valuation after outlier checks.
- Modest revenue growth; high operating margins; strong roe; positive fcf generation
- Moderate revenue expansion (5.3% YoY)

INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **UNDERWEIGHT** rating; blended target \$105.85. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$483.32B	Shares Out.	3941.4M
52-Week Range	\$63.93 – \$130.37	P/E (TTM)	40.9x
P/B	9.9x	Beta	1.00
Avg Volume	23.82M	Analyst Rec.	Buy
Revenue (TTM)	\$56.65B	Rev Growth	+5.3%
Op. Margin	25.0%	FCF (TTM)	\$13.29B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	53,803	56,654	59,656	62,316	64,729
Revenue Growth (%)	N/A	5.3%	5.3%	4.5%	3.9%
Net Income (\$M)	10,320	10,180	10,719	11,197	11,631
Net Income Growth (%)	N/A	-1.4%	5.3%	4.5%	3.9%
Gross Margin (%)	64.7%	64.9%	64.3%	64.3%	64.3%
Net Margin (%)	19.2%	18.0%	18.0%	18.0%	18.0%
ROE (%)	22.7%	21.7%	22.9%	21.7%	21.4%
EPS (\$)	2.62	2.58	2.72	2.84	2.95
Book Value / Share (\$)	11.53	11.88	11.88	13.10	13.76
P/E (x)	46.83	47.48	45.09	43.16	41.55
P/B (x)	10.63	10.32	10.32	9.36	8.91
Dividend Yield (%)	1.4%	1.4%	1.4%	1.4%	1.4%

Page 2 of 2 · Cisco Systems, Inc. (CSCO) · Valuation · Industry · Peers · Data as of 2026-06-12 · Q3 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$69.67	-43.2%	28%	Included in blend
Comps — P/E (peer median)	\$94.31	-23.1%	—	Peer median P/E 31.4x
Comps — EV/EBITDA (peer median)	\$102.15	-16.7%	—	Peer median 27.2x
Comps — P/S (peer median)	\$150.72	+22.9%	—	Peer median P/S 10.5x
Comps — Blended (avg. of available multiples)	\$115.73	-5.6%	44%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$126.50	+3.2%	28%	Included in blend
Blended target (weighted)	\$105.85	-13.7%	100%	DCF 28% + Comps 44% + Analyst 28%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	9.52%
Terminal g	4.00%
FCFE growth	4.50%
Base FCFE	\$13.62B
PV explicit (5Y)	\$59.27B
PV terminal	\$202.84B
Equity value (adj.)	\$274.59B
Implied price	\$69.67
vs. current	-43.2%

INDUSTRY ANALYSIS

1. Industry Overview

Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the Middle East, Africa, the Asia Pacific, Japan, and China. The company offers data center switching; network security, identity and access management, and secure access service edge; threat intelligence, detection, and response solutions;...

2. Key Trends

- Moderate revenue expansion (5.3% YoY)
- Healthy operating margins (25.0%)
- Sector: Technology | Industry: Communication Equipment

3. Risk Factors

- Premium valuation (P/E: 40.9x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$4.98T	31.4x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.43T	27.8x	26.7x	37.9%	+21.8%
AAPL	Apple Inc.	\$4.29T	35.4x	27.2x	27.2%	+16.6%
MSFT	Microsoft Corporation	\$2.89T	23.2x	16.0x	39.3%	+18.3%
CSCO*	Cisco Systems, Inc.	\$483.32B	40.9x	29.2x	19.7%	+5.3%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Modest revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.